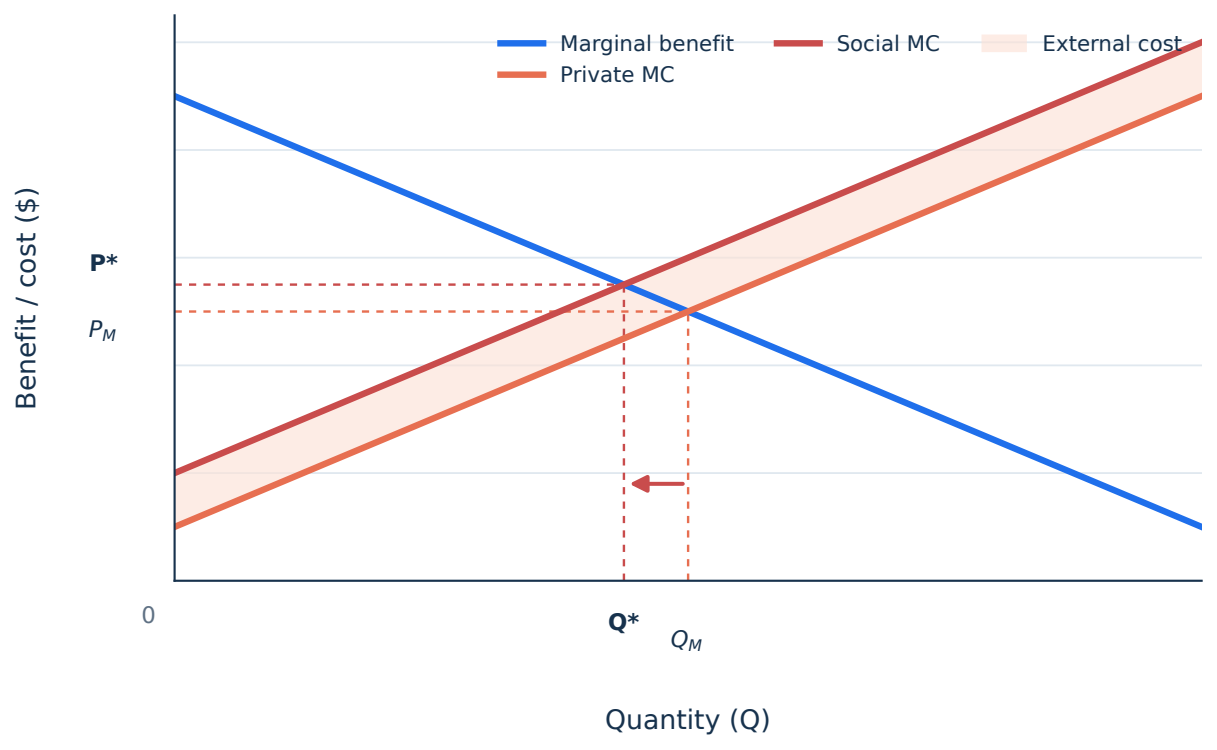
Marginal benefit
Social MC
External cost
Private MC
Benefit / cost ($)
P*
P_M
0
Q*
Q_M
Quantity (Q)